

5.5 MONEYNES OF OPTIONS CONTRACT



Explainer Video



For any given asset, there is a list of strike prices at which put and call options are available. This list is called an Option Chain. You can look at an option chain on next page.

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EACH OPTION HAS A DIFFERENT STRIKE PRICE WHICH DETERMINES SOMETHING CALLED MONEYNES OF THE OPTION.

This is based on how far is the strike price of the option from the current market price.

MONEYNES OF OPTIONS

